Headline inflation jumps to 4.0% in August, but underlying inflation holds at 3.6%

A clear example of why the RBA watches underlying inflation: a petrol-driven jump in the headline rate while the trimmed mean stays steady.

WHAT HAPPENED

Australia's annual headline inflation rate rose to 4.0% in August, up from 3.5%. The RBA had raised the cash rate for the fourth time this year the day before the figures came out, so the result partly backed its decision.

Most of the jump came from petrol, which rose almost 15% in a single month because of higher global oil prices linked to the Middle East conflict and the end of the remaining fuel-excise relief.

Underlying inflation told a calmer story. The trimmed mean stayed at 3.6% over the year, no higher than in June or July, and prices excluding volatile items such as petrol and fresh food were flat over the month.

The author argues this could justify patience at the RBA's next meeting on 3 November, once it has seen new labour market and inflation data. A stronger reading would put another rise on the table; a weaker one would favour holding.

BY THE NUMBERS

4.0%
(up from 3.5%)
Headline inflation, annual rate
year to August 2026

3.6%
(unchanged)
Trimmed mean inflation, annual rate
year to August 2026

almost 15%
Automotive fuel prices, one-month rise
August 2026

5.7%
Housing costs, annual rise
year to August 2026

KEY TERMS

Headline inflation: The annual change in the whole consumer price index, including volatile items such as petrol.

Trimmed mean: The RBA's preferred underlying measure, which removes the largest price rises and falls each month to show the trend.

Cost-push inflation: Price rises that start with higher production costs, such as fuel.

Policy lag: The delay before an interest rate change works through the economy.

EXAM ANGLE

Use it to show why headline and underlying measures can diverge, and why a central bank with a 2 to 3% target may look through a supply-side price spike while watching for second-round effects. Pair it with the unemployment records to show the RBA's dual-mandate trade-off.

SYLLABUS LINK

TOPIC 3: inflation (headline and underlying, trends and causes). It links to TOPIC 4: monetary policy and time lags.

TRY THIS

Distinguish between headline inflation and trimmed mean inflation. (2 MARKS)
Explain why a rise in petrol prices can lift headline inflation without changing the RBA's view of underlying inflation. (4 MARKS)

Source: Isaac Gross (Monash University), The Conversation, 30 September 2026. Summary written in our own words for classroom use; read the original for the full argument. https://theconversation.com/inflation-lifts-to-4-0-in-august-keeping-pressure-on-the-rba-for-another-rate-rise-292366